

Executive Overview

NexaCore Technologies Inc. is pleased to report strong financial performance for the fiscal year ended December 31, 2024. Total revenue reached \$4.85 billion, representing a 14.2% increase from \$4.25 billion in fiscal year 2023. This marks the fourth consecutive year of double-digit revenue growth for the company.

Operating income for fiscal 2024 was \$1.12 billion, up from \$920 million in the prior year. Net income attributable to shareholders was \$847 million, compared to \$710 million in fiscal 2023, representing a year-over-year increase of 19.3%.

Earnings per share (diluted) reached \$6.84, compared to \$5.72 in fiscal 2023. The board of directors has approved a quarterly dividend of \$0.42 per share, totalling \$1.68 per share annually.

Segment Performance

NexaCore operates through three primary business segments: Cloud Services, Enterprise Software, and Professional Services.

The Cloud Services segment generated revenue of \$2.31 billion in fiscal 2024, a 22.7% increase from \$1.88 billion in fiscal 2023. Cloud Services now represents 47.6% of total company revenue, up from 44.2% in the prior year. Segment operating margin improved to 34.2% from 31.8%.

Enterprise Software revenue was \$1.74 billion, broadly flat compared to \$1.71 billion in fiscal 2023 as the company continues to transition customers to subscription-based pricing. Recurring revenue within this segment now accounts for 78% of segment total.

Professional Services contributed \$800 million in revenue, up 6.7% from \$750 million in fiscal 2023, driven by strong demand for implementation and integration services associated with the company's cloud migration offerings.

Balance Sheet Summary (as of December 31, 2024)

Total assets at fiscal year-end were \$18.4 billion, compared to \$16.2 billion at December 31, 2023. Cash and cash equivalents were \$3.62 billion, up from \$2.85 billion at the prior year-end.

Total liabilities were \$8.9 billion. Long-term debt outstanding was \$4.2 billion, unchanged from the prior year following the company's decision not to undertake additional debt issuance in fiscal 2024. Total shareholders equity was \$9.5 billion.

Research and Development

NexaCore invested \$680 million in research and development in fiscal 2024, representing 14.0% of total revenue. This compares to R&D expenditure of \$590 million in fiscal 2023. The increase reflects accelerated investment in artificial intelligence and machine learning capabilities across all product lines.

Capital expenditure for fiscal 2024 totalled \$420 million, up from \$370 million in fiscal 2023. The majority of capital spending was directed toward data center infrastructure to support growth in the Cloud Services segment.

Subsidiary and Acquired Entity Performance

DataStream Analytics, acquired by NexaCore in March 2023 for \$520 million, contributed \$185 million in revenue during fiscal 2024, ahead of the \$150 million target established at acquisition. The integration is substantially complete and DataStream is expected to achieve breakeven operating income in fiscal 2025.

NexaCore Asia Pacific Pte. Ltd., the company's Singapore-based regional subsidiary, reported revenue of \$340 million in fiscal 2024, a 28.3% increase from \$265 million in fiscal 2023, reflecting strong demand across the APAC region.

Fiscal 2025 Guidance

For fiscal year 2025, NexaCore expects total revenue in the range of \$5.30 billion to \$5.50 billion, representing growth of 9% to 13% over fiscal 2024. Operating income is expected to be between \$1.25 billion and \$1.35 billion. The company expects to generate free cash flow of approximately \$1.1 billion.

Capital expenditure for fiscal 2025 is expected to be in the range of \$480 million to \$520 million as the company continues to invest in infrastructure to support its cloud growth strategy.